

● UNIT 2 · TOPIC 2.5

Step-by-Step Fare Calculation

From base fare to local currency — build a ticket price by hand.

B.B.A. Aviation Management · Semester III · Unit 2: Fare Construction Principles
Air Ticketing & Fare Construction (2ACBAM32) · Arun Kumar

AIR TICKETING ACADEMY

ADMIT ONE LEARNER

No. 2.5

CLASS

HANDS-ON

PERIOD

PERIOD 5

DURATION

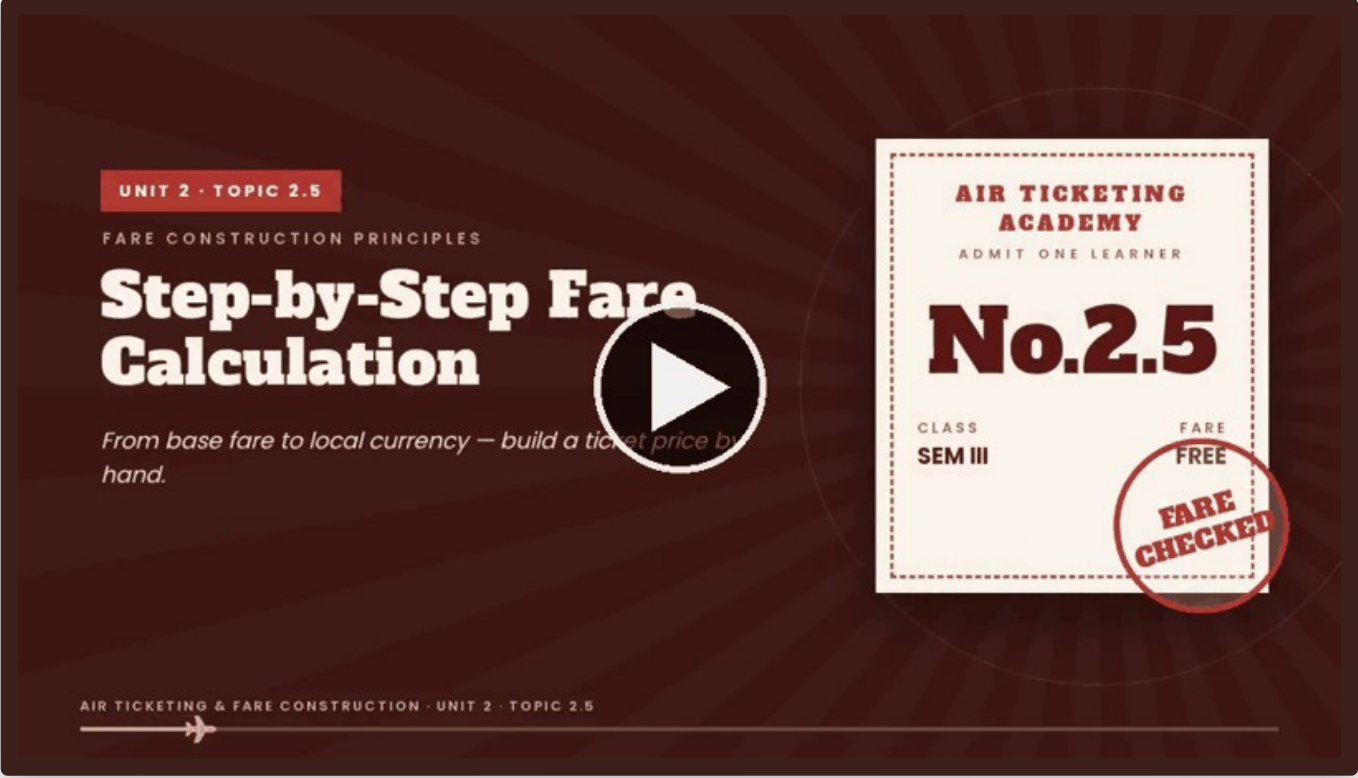
40 MIN

FARE

FREE**FARE
CHECKED**

- TOPIC 2.5

Now Showing: Topic Intro



The graphic is a dark red rectangle with a subtle sunburst pattern. On the left, it says 'UNIT 2 · TOPIC 2.5' in a small red box, followed by 'FARE CONSTRUCTION PRINCIPLES' in white. Below that is the title 'Step-by-Step Fare Calculation' in large white font, with a play button icon to its right. A subtitle in white italicized font reads 'From base fare to local currency — build a ticket price by hand.' At the bottom left, it says 'AIR TICKETING & FARE CONSTRUCTION · UNIT 2 · TOPIC 2.5' with a small airplane icon. On the right, there is a white rectangular box with a dashed border, styled like a ticket. It says 'AIR TICKETING ACADEMY' and 'ADMIT ONE LEARNER' at the top. The center of the ticket has 'No.2.5' in large dark red font. Below that, it says 'CLASS SEM III' and 'FARE FREE'. A red circular stamp with the words 'FARE CHECKED' in white is placed over the bottom right corner of the ticket box.

UNIT 2 · TOPIC 2.5

FARE CONSTRUCTION PRINCIPLES

Step-by-Step Fare Calculation

From base fare to local currency — build a ticket price by hand.

AIR TICKETING & FARE CONSTRUCTION · UNIT 2 · TOPIC 2.5

AIR TICKETING ACADEMY
ADMIT ONE LEARNER

No.2.5

CLASS SEM III

FARE FREE

FARE CHECKED

Air Ticketing & Fare Construction · Unit 2: Fare Construction Principles · Topic 2.5

02

● **TOPIC 2.5**

The Ticket Puzzle

**THINK ABOUT IT**

How would you add up fares in rupees, dirhams and euros on one single ticket?

**THINK**

30 seconds alone

**PAIR**

1 minute with a neighbour

**SHARE**

2-3 answers with the class



● TOPIC 2.5

Your Fare Itinerary

- 1** **2.5.1** Base fare calculation: how base fares are determined
- 2** **2.5.2** Routing: calculating fares based on the route
- 3** **2.5.3** Point of Sale (POS): how the place of purchase affects fare construction
- 4** **2.5.4** Currency conversion: fares and payments in different currencies

**BY THE END, YOU WILL**

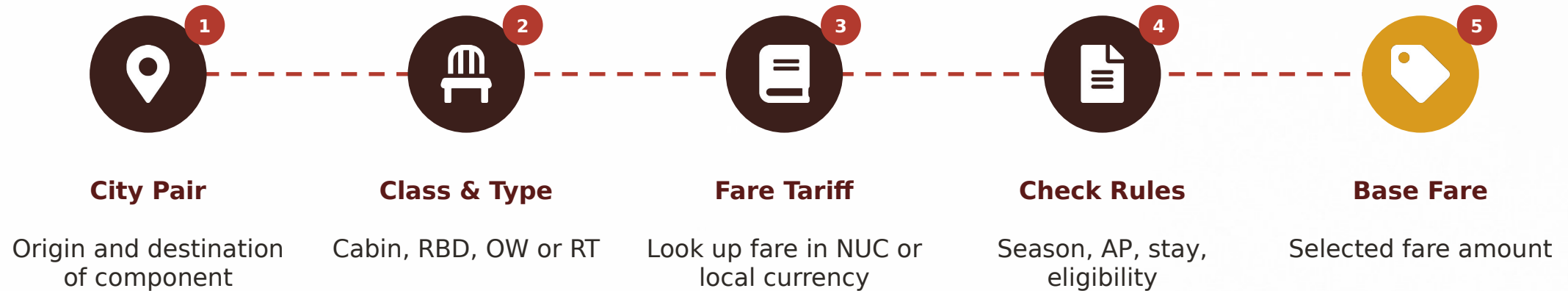
- Select the correct base fare
- Price a route with fare components
- Explain POS effects
- Convert NUC to local currency using ROE

Pedagogy: Kinesthetic Learning

● TOPIC 2.5.1

Finding the Base Fare

The starting point of every calculation.



● TOPIC 2.5.1

One-Way vs Half Round-Trip



One-Way Journey

Uses a one-way (OW) fare for each component.



Round / Circle Trip

Uses half round-trip ($\frac{1}{2}$ RT) fares for each component, then adds them.



Why It Matters

$\frac{1}{2}$ RT fares are usually cheaper than OW fares — using the wrong one misprices the ticket.

TOPIC 2.5.2

Pricing by Route: A Fare Calculation Line

The “linear” fare calculation printed on tickets.

- Each city and carrier is listed in order.
- Fare amounts appear after each fare component.
- NUC total is converted with the ROE.
- END marks the end of the calculation.

```
FARE CALCULATION (illustrative)

DEL AI LON 540.00
AI DEL 540.00
NUC1080.00 END
ROE85.000000

// 1080 x 85 = INR 91,800
// + taxes = total fare

// fares and ROE invented
```

● TOPIC 2.5.2

Route Affects the Fare

**Non-stop vs connecting**

Connecting routes may be cheaper or may require mileage checks.

**Mileage surcharges**

Long detours can add 5–25% (EMS).

**Extra components**

Stopovers may split the journey into more fare components.

**HANDS-ON**

Use string on a world map: measure DEL-LON direct, then via DXB and via FRA. Which route adds the most miles? That's mileage-based pricing in action.



● TOPIC 2.5.3

Point of Sale (POS)

Where a ticket is sold and issued can change the price.

**Country of Sale**

Fares and taxes can differ by market.

**Country of Origin**

International fares are usually in origin-country currency.

**Country of Issue**

Ticketing location can affect currency and taxes.

**Market Fares**

Some fares are sold only in one country (e.g., India-only).



● TOPIC 2.5.3

SITI, SITO, SOTI, SOTO

Traditional codes describing where a ticket is Sold and Ticketed, Inside or Outside the country of origin.

Code	Sold	Ticketed	Example (journey starts in India)
SITI	Inside	Inside	Bought and issued in India
SITO	Inside	Outside	Paid in India, ticket issued abroad
SOTI	Outside	Inside	Paid abroad, ticket issued in India
SOTO	Outside	Outside	Bought and issued abroad (e.g., in Dubai)

● TOPIC 2.5.4

Currency Conversion Steps



● TOPIC 2.5.4

Try It: Convert the Fare

NUC 750

total fare components

× 85

illustrative ROE for INR

₹63,750

local currency fare before taxes



Now add taxes of ₹9,400 → total ₹73,150. (All values invented for practice.)

● TOPIC 2.5

Ticket Office Workshop: Human Fare Ladder

**PEDAGOGY****Kinesthetic Learning****TIME · 12 min****FORMAT · Teams of 5****1**

Each student holds a card: city, carrier, fare, NUC total, ROE.

2

Team lines up physically to form a correct fare calculation line.

3

The “calculator” student converts NUC to INR and adds taxes.

4

Swap one city to create a stopover — rebuild the line.

● TOPIC 2.5

Click to reveal each answer

Fare Check Quiz

Q1**Round trips are priced using...**

- A) One-way fares
- B) Half round-trip fares
- C) Group fares
- D) Taxes only

ANSWER**B****Q2****NUC is converted to local currency using...**

- A) TPM
- B) ROE
- C) MPM
- D) PNR

ANSWER**B****Q3****A ticket paid and issued abroad for a journey starting in India is...**

- A) SITl
- B) SITO
- C) SOTl
- D) SOTO

ANSWER**D****Q4****“END” in a fare calculation line marks...**

- A) End of the journey
- B) End of the fare calculation
- C) Endorsement
- D) Economy

ANSWER**B**

TICKET STAMPED

Key Takeaways

- ✓ Base fare depends on city pair, class, journey type and rules
- ✓ Round trips use half round-trip fares
- ✓ POS (where sold / ticketed) can change fares and taxes
- ✓ $\text{NUC} \times \text{ROE} = \text{local currency fare, then round and add taxes}$

EXIT TICKET Write 1 thing you learned today + 1 question you still have.

NEXT TICKET

Topic 2.6 — Point of Sale & Currency Rules

Thank you · Questions?